Pricing Decision

AS ONE, WE CAN.

ONE

OCEAN NETWORK EXPRESS

Pricing Objectives

- To secure businesses, keep & increase ONE’s market share
- Compare prices with the competition; competitive rate offering
- Surpass the competition
- Achieve ONE’s target profits/maximize profits
- To stay afloat in the Shipping Industry

All aforementioned give rise to setting the right “**Pricing**” for ONE.

Introduction

Price is one the of the key factors in any International Shipping Trade deal and should incorporate:

- The right QUANTITY **(Demand vs. Supply: EQP availability and Space Availability)**
- At the right level of QUALITY **(Svc Integrity and Svc Advantage – On Schedule/Direct/Fast T/T, etc.)**
- At the right TIME **(Considering Market Dynamics/Volatility and Competitors Reaction)**
- And at the right PRICE **(Competitive Pricing w/out jeopardizing Profitability)**

Pricing Methods

Competition-oriented Pricing

Pricer to quote competitive rates considering the on-going/prevailing Market Rate Level (*offered by Competitors*) in consideration of the Minimum CM Guideline set by GHQ.

Demand-oriented Pricing

This implies that Pricer can quote a high rate where customer's interest is high and a low rate where customer interest is low*, despite that fact that the cost may be the same in both cases.

*=> This is purely based on the customer's perceived value of ONE's service. (i.e. **Svc Frequency**, **Fast T/T**, **Direct Svc**; especially for T/T sensitive A/Cs and RF Customers with perishable goods where Pricer can offer higher rates.)*

*** in the case of low rate quotation, this still needs to be within the Minimum CM Guideline set by GHQ.**

Pricing Methods – Other Concepts & Approach

Net Gain Analysis/ Package Deal

Flexible Pricing in consideration of overall CM gained despite having (-)CM for some sectors.

Key Factors:

(1) Negative CM

(2) A/C's Significant Prospect Volume

(3) Relationship with the A/C

(4) A/C's Requirement of "No Cherry Picking of Lanes"

Better than Nothing Concept

Flexible Pricing for services with open space rather than leaving it empty to fill up the vessel space when unable to secure fully loaded cargoes at MRG level.

Key Factors:

(1) Ample/Open Space on Vessels

(2) Opt for even "less" CM over having NO CM at all

Better than Empty Concept

Flexible Pricing so long as CM is better than the pure empty cost.

Key Factors:

(1) Ample/Open Space on Vessels

(2) POL has Surplus EQP/POD has Deficit EQP

(2) CM is higher than the Pure Empty Cost

How to Secure Businesses for ONE

The key element that can turn a rate inquiry into a secured business is the price quotation - setting out of the price and terms & conditions of ONE's offer with which the A/C agrees to pay for.

Essential requirements to Pricers when responding to rate inquiries:

- **Speed:** Respond quickly to Sales' inquiries to show that the Pricer is keen and to minimize lost opportunity due to delay in replies.
- **Clarity**: Be clear and include the relevant details requested by the customer.
- **Quality:** Back up all claims made, Pricer needs to present a professional quotation.
- **Follow-up:** Pricer to ask for feedback/updates from Sales regarding customer's feedback on ONE's rate offer.

THANK YOU!

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